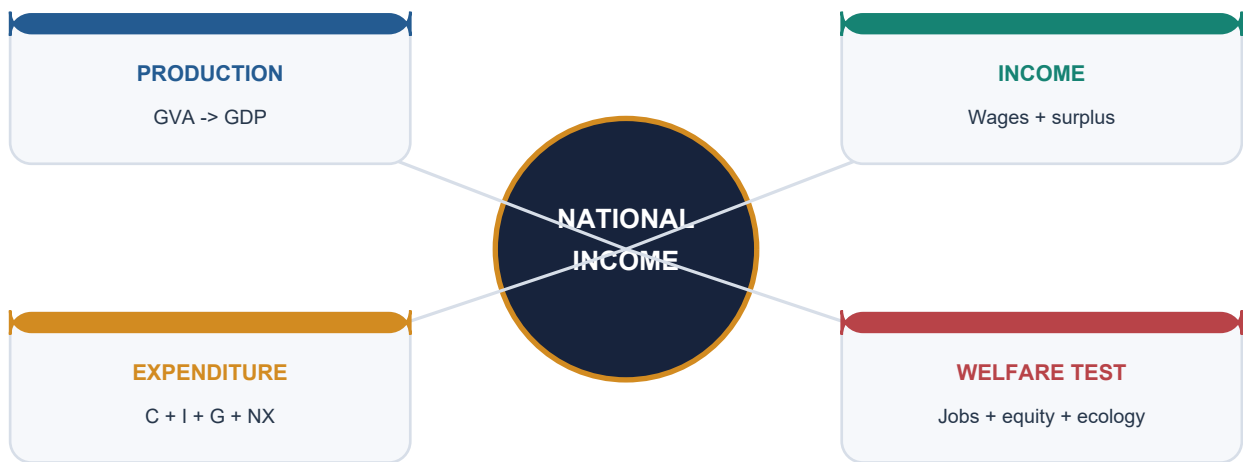


COMPLETE LEARNING SESSION

Polity 30 - GST Council - Complete Topic Package

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing



Deterministic fallback visual: national income viewed through production, income, expenditure and welfare lenses.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

Polity 30 - GST Council - Complete Topic Package

Control date: 19 August 2026, Asia/Kolkata **Tags:** [FACT] directly supported by a named constitutional, statutory, judicial, official or audited local source; [ANALYSIS] reasoned exam use; [CURRENT] date-sensitive position; [LIMIT] qualification, boundary or uncertainty. **Answer discipline:** claim -> named evidence -> analysis -> qualification. **Scope:** the pre-GST problem; Constitution (One Hundred and First Amendment) Act, 2016; Articles 246A, 269A and 279A; composition, recommendations, procedure and voting; legislation and delegated notification; rates, exemptions, input-tax credit and inverted duty; compensation; *Union of India v. Mohit Minerals*; fiscal federalism; institutional comparison; accountability, disputes and reform.

Package method, source priority and legal-current control

- [FACT] Local-first sequence followed: Polity/basic/GST-Council.md -> Polity/advanced/30_GST-Council.md -> Polity owners for Finance Commission, Centre-State Relations, constitutional amendment and Parliament -> Economy taxation/GST/fiscal-federalism owner -> audited PYQ routing and integration ledgers.
- [FACT] Polity packages 27, 28 and 29 were used only as structural, visual and validation references. Their subject content has not been imported.
- [FACT] The constitutional text was controlled against the Legislative Department's official consolidation and the official Gazette text of the Constitution (One Hundred and First Amendment) Act, 2016.
- [FACT] The institutional holding was controlled against the Supreme Court's official judgment dated 19 May 2022 in *Union of India v. Mohit Minerals Pvt. Ltd.*, Civil Appeal No. 1390 of 2022.
- [FACT] The compensation design was controlled against the official Gazette text of the Goods and Services Tax (Compensation to States) Act, 2017.
- [CURRENT] The latest official Council-meeting release located for this export was the Ministry of Finance/PIB release for the **56th GST Council meeting dated 3 September 2025**. The official GST Council newsletter archive located an **April 2026** issue, but no later official meeting recommendation release was established by the control date.
- [CURRENT] The 56th meeting officially recommended a broad **5 per cent merit rate, 18 per cent standard rate and 40 per cent special de-merit rate**, with most announced changes intended from 22 September 2025. This package does **not** freeze a commodity-wise current rate list: the legal rate for a supply must be read from the applicable statute and Gazette notification.
- [CURRENT] The April 2026 GST Council Secretariat newsletter records Notification No. 01/2026-Central Tax (Rate), dated 30 April 2026, as an amendment issued on Council recommendation under sections 9(1) and 15(5) of the CGST Act. It is evidence of the recommendation-to-notification chain, not evidence of a new Council meeting.
- [LIMIT] No verified official public instrument establishing a complete adjudicatory mechanism under Article 279A(11) was located. Existing Council committees, political negotiation, taxpayer appeals and GSTAT must not be silently relabelled as that intergovernmental constitutional mechanism.
- [LIMIT] No 2026 meeting number, fresh rate package, exact compensation-cess end date or volatile commodity list is asserted without an official instrument.

Authoritative evidence board

Named evidence	Claim controlled
Constitution of India, Articles 246A, 269A, 279A, 366(12A), Seventh Schedule	competence, inter-State GST, Council, alcohol/petroleum/electricity boundaries
Constitution (One Hundred and First Amendment) Act, 2016	constitutional insertion, omission/substitution and five-year compensation direction
GST Council Procedure and Conduct of Business Regulations	duly constituted meeting, proposal handling, voting, minutes and Vice-Chair procedure
CGST Act, 2017, sections 7, 9, 11, 16 and 49	levy, notification, exemption and credit interaction
GST (Compensation to States) Act, 2017, sections 2-8 and 10	five-year transition, 14 per cent projected growth, base year and cess fund
<i>Union of India v. Mohit Minerals</i> (2022)	persuasive Council recommendations; simultaneous legislative power; statutory limits on delegated action
Official 56th GST Council press release and FAQ, 3 September 2025	latest located meeting recommendation and implementation caution
GST Council Secretariat Newsletter, April 2026	current example of Council recommendation implemented through notification
Audited local PYQ ledgers	exact routing status, year, paper, question number and key limitation

Official links used for current control

- Legislative Department, Constitution: <https://legislative.gov.in/documents/constitution-of-india>
- GST Council, constitutional/institutional page: <https://gstcouncil.gov.in/en/gst-council>
- GST Council, conduct regulations: https://gstcouncil.gov.in/sites/default/files/2024-09/procedure_conduct_business.pdf
- Supreme Court judgment: https://api.sci.gov.in/supremecourt/2020/23083/23083_2020_4_1501_35969_Judgement_19-May-2022.pdf
- GST Compensation Act: <https://gstcouncil.gov.in/sites/default/files/2024-03/gst-compensation-to-states-act-2017.pdf>
- 56th meeting release: https://gstcouncil.gov.in/sites/default/files/2025-09/press_release_press_information_bureau.pdf
- 56th meeting FAQ: <https://gstcouncil.gov.in/sites/default/files/2025-09/faq.pdf>
- GST Council newsletters: <https://gstcouncil.gov.in/en/gst-council-newsletter>

Roadmap

Stage	Units	Exam outcome
Foundation	pre-GST fragmentation, cascading and destination principle	explain why GST required constitutional change
Architecture	101st Amendment; Articles 246A, 269A and 279A	separate competence, allocation and coordination
Institution	composition, recommendations, Secretariat and procedure	solve close constitutional options
Decision	quorum, weighted vote, consensus and coalition arithmetic	explain the federal bargain precisely
Tax mechanics	statutes, notifications, rates, ITC, exemptions and inverted duty	prevent institution-tax confusion
Transition	compensation, cess, June 2022 end and loan servicing	write fiscal-trust answers safely
Doctrine	<i>Mohit Minerals</i> and delegated action	state “non-binding” without making the Council irrelevant
Evaluation	autonomy, common market, disputes and reform	build balanced GS-II/GS-III answers
Workbook	verified PYQs, 48 rotated MCQs and eight solved Mains	convert doctrine into marks

Visual 1 - Source and claim-control ladder

```

CONSTITUTION / AMENDMENT ACT
|
GST STATUTES
|
GAZETTE NOTIFICATIONS + RULES
|
OFFICIAL COUNCIL RELEASES / MINUTES
|
JUDGMENTS ON INTERPRETATION
|
[ANALYSIS] FEDERAL AND ECONOMIC EFFECT
  
```

Caption: A Council recommendation is evidence of policy agreement; the applicable legal obligation may require a statute, rule or notification.

PART I - Complete foundation, core and advanced learning session

01. Why did India need a GST compact?

[FACT] Before GST, the Union and States imposed different indirect taxes under separate constitutional entries. Central excise generally attached to manufacture, service tax to taxable services, State VAT to sale, Central Sales Tax to inter-State sale, and entry tax/octroi to entry into local areas.

[ANALYSIS] Multiple taxable events, non-creditable levies and border procedures fragmented the value chain. A national value-added tax required more than an ordinary Union law because the Constitution had distributed tax fields between different legislatures.

[LIMIT] “One Nation, One Tax” is a political shorthand. GST is a dual levy implemented through Central, State/Union-territory and Integrated GST laws, with important taxes and supplies outside or deferred from the core system.

Visual 2 - Pre-GST tax maze

```

FACTORY
|-- Central excise at manufacture
|
WHOLESALE
|-- State VAT / CST at sale
|
CITY BORDER
|-- entry tax / octroi
|
SERVICE INPUT
|-- service tax
|
CONSUMER
+-- embedded tax-on-tax where cross-credit failed
  
```

Caption: The constitutional problem was not merely “many rates”; it was divided tax competence plus broken credit chains.

Visual 3 - Cascading versus value-added credit

Stage	Without full credit	With GST-style credit
input	tax becomes cost	eligible tax enters electronic credit
production	tax may be charged on cost including earlier tax	output liability less eligible input credit
distribution	repeated embedded burden	tax follows value added
consumer	opaque cumulative incidence	invoice-based destination levy, subject to compliance

[ANALYSIS] Input-tax credit (ITC) reduces cascading only where the law permits credit and the taxpayer satisfies conditions. Exempt supplies, blocked credits, invoice mismatches and rate inversions can interrupt the ideal chain.

Visual 4 - Origin-to-destination shift

```

PRODUCTION STATE ---- goods/services ----> CONSUMPTION STATE
old concern: origin-linked revenue
  
```

```

GST DESIGN:
tax travels through invoice and settlement architecture
      |
      v
revenue significance moves toward final consumption destination
  
```

[FACT] Article 269A supports this destination logic for inter-State supplies by placing levy and collection with the Government of India and requiring apportionment between Union and States under parliamentary law on Council recommendation.

Visual 5 - Major pre-GST levies and post-GST location

Pre-GST levy family	Broad post-GST treatment	Qualification
central excise on most goods	subsumed into GST	retained constitutional field for specified petroleum and tobacco goods
service tax	subsumed	services now within supply-based GST
State VAT/sales tax on most goods	subsumed	retained for specified petroleum and alcoholic liquor for human consumption
CST	replaced operationally by IGST settlement	inter-State supply uses Article 269A architecture
entry tax/octroi	largely subsumed	local-government revenue consequences remain
luxury/entertainment taxes	largely subsumed	local-body entertainment/amusement taxation survives within narrowed Entry 62
basic customs duty	not GST	IGST may additionally apply on imports
stamp duty and electricity duty	not subsumed as GST levies	remain under their constitutional/statutory fields

02. The 101st Amendment: constitutional surgery, not a single tax rate

[FACT] The Constitution (One Hundred and First Amendment) Act, 2016 created the enabling architecture. It inserted Articles 246A, 269A and 279A, inserted the GST definition in Article 366(12A), altered tax-distribution provisions and changed relevant Seventh Schedule entries.

[FACT] The Amendment omitted Article 268A, which had dealt with service tax, and reworked Union and State tax entries to accommodate the supply-based GST design.

[FACT] Section 18 of the Amendment directed Parliament, by law and on Council recommendation, to provide compensation to States for GST-related revenue loss for five years.

[LIMIT] The Amendment did not itself enact every GST rate, exemption, compliance rule or compensation calculation. Those came through legislation and delegated instruments.

Visual 6 - Before-and-after constitutional map

BEFORE 2016
exclusive tax entries + service-tax Article 268A

|
v

101st AMENDMENT

- |-- Article 246A: shared GST competence
- |-- Article 269A: inter-State levy/apportionment
- |-- Article 279A: joint Council
- |-- Article 366(12A): GST definition
- +-- Seventh Schedule and revenue-distribution changes

Visual 7 - The three-article triangle

Article	Core question answered	One-line recall
246A	Who may legislate on GST?	Parliament and States simultaneously; Parliament exclusive for inter-State supply
269A	Who levies/collects and how is inter-State GST shared?	Union collection plus statutory apportionment
279A	Where do Union and States negotiate GST design?	constitutional Council making recommendations

Caption: Competence, inter-State allocation and coordination are related but legally distinct.

Visual 8 - Selected legal surgery

Amendment move	Significance	Exam caution
inserted Article 246A	created special shared legislative field	not an ordinary Concurrent List entry
omitted Article 268A	displaced separate service-tax architecture	do not quote it as current
inserted Article 269A	constitutionalised IGST apportionment	Parliament legislates place-of-supply principles
inserted Article 279A	created Council	body recommends; it does not replace legislatures
amended Article 368 proviso	alteration of Article 279A enters State-ratification field	shows federal significance
amended Article 366	defined GST; excluded alcohol for human consumption	petroleum is treated differently
changed Entries 84 and 54	preserved specified petroleum/tobacco and alcohol fields	not every old indirect tax vanished

03. Article 246A: a special shared taxing power

[FACT] Article 246A(1), notwithstanding Articles 246 and 254, gives Parliament and, subject to clause (2), every State legislature power to make laws on GST imposed by the Union or the State.

[FACT] Article 246A(2) gives Parliament exclusive power over GST where the supply takes place in the course of inter-State trade or commerce.

[ANALYSIS] This is a constitutional pooling of tax sovereignty. It differs from a normal Concurrent List subject because Article 246A is a stand-alone competence and the ordinary Article 254 repugnancy template is not simply imported into it.

[LIMIT] Simultaneous legislative power does not mean identical territorial or transaction fields. State GST laws govern intra-State supplies within their constitutional reach; Parliament owns inter-State GST.

Visual 9 - Article 246A competence grid

Supply field	Parliament	State legislature
intra-State GST	yes	yes, for State GST
inter-State GST	exclusive	no independent inter-State GST law
specified petroleum before recommended date	constitutional/statutory levy deferred	existing non-GST fields continue
alcohol for human consumption	outside GST definition	State excise/sales-tax fields remain

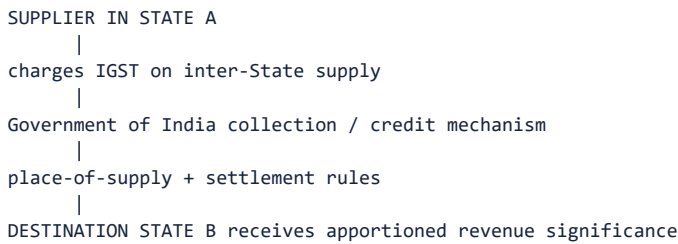
04. Article 269A: IGST and the inter-State bridge

[FACT] Article 269A(1) provides that GST on inter-State supplies is levied and collected by the Government of India and apportioned between Union and States in the manner Parliament provides by law on Council recommendation.

[FACT] Imports are deemed inter-State supplies for this purpose. Parliament may formulate place-of-supply principles under Article 269A(5).

[ANALYSIS] IGST is a clearing bridge rather than a separate final destination burden. Credit and settlement seek to transfer revenue to the jurisdiction of consumption while allowing inter-State trade without an origin-State tax barrier.

Visual 10 - Simplified IGST settlement flow



[LIMIT] The exact settlement calculation is statutory and system-based. A constitutional answer should not invent accounting formulae.

Visual 11 - Three legal layers

Layer	Example	Function
Constitution	Articles 246A, 269A, 279A	competence and federal structure
primary legislation	CGST, SGST, IGST, Compensation Acts	charge, liability, credit, procedure and remedies
delegated law	rate/exemption notifications and rules	operational rate, class, condition and date

05. Article 279A: exact composition and institutional support

[FACT] The constitutional membership is:

1. Union Finance Minister - Chairperson;
2. Union Minister of State in charge of Revenue or Finance - Member; and
3. Minister in charge of Finance or Taxation, or another Minister nominated by each State Government - Members.

[FACT] State members choose one among themselves as Vice-Chairperson for such period as they decide.

[LIMIT] Article 279A does not constitutionally create a permanent, separately independent Secretariat. The Union Cabinet approved a GST Council Secretariat in New Delhi; the Secretary (Revenue) is ex-officio Secretary and the CBIC Chairperson is a permanent non-voting invitee. These are administrative arrangements, not additional constitutional voting members.

Visual 12 - Exact membership map



Visual 13 - Constitution versus administrative support

Feature	Source	Voting status
Union Finance Minister	Article 279A(2)(a)	Union vote
Union MoS Revenue/Finance	Article 279A(2)(b)	part of Central representation
State minister/nominated minister	Article 279A(2)(c)	State vote
Vice-Chair	Article 279A(3), chosen by State members	remains a State member
Revenue Secretary as ex-officio Secretary	Cabinet/administrative arrangement	no additional vote
CBIC Chair as permanent invitee	Cabinet/administrative arrangement	non-voting
Council Secretariat	Cabinet/administrative arrangement	institutional support, not constitutional fourth tier

06. What exactly may the Council recommend?

[FACT] Article 279A(4) lists recommendation fields. The Council does not acquire a general power to legislate merely because an issue affects GST.

Visual 14 - Eight recommendation buckets

Bucket	Exact constitutional subject
1	Union, State and local-body taxes, cesses and surcharges that may be subsumed
2	goods and services that may be subjected to or exempted from GST
3	model GST laws, levy principles, Article 269A apportionment and place of supply
4	threshold turnover below which goods and services may be exempted
5	rates, including floor rates with bands
6	special rates for a specified period during natural calamity or disaster
7	special provisions for the States named in clause (4)(g)
8	any other GST-related matter the Council decides

[FACT] Article 279A(5) separately requires the Council to recommend the date on which GST is levied on petroleum crude, high-speed diesel, petrol, natural gas and aviation turbine fuel.

Visual 15 - Petroleum is deferred, not constitutionally banished

SPECIFIED PETROLEUM PRODUCTS
|
currently taxed through retained Union/State fields
|
Article 279A(5): Council recommends GST start date
|
CGST section 9(2): Government notifies date on Council recommendation
|
GST applies from legally effective date

[LIMIT] “Petroleum is permanently outside GST” is wrong. Equally, “all petroleum products are already under GST” is wrong.

07. From proposal to legal effect

[FACT] Council regulations allow proposals from members, circulation of agenda material, discussion, voting where required, recording of proceedings and confirmation of minutes.

[ANALYSIS] The Council's central output is a negotiated recommendation. Legal effect then depends on the constitutional/statutory route: parliamentary or State legislation, amendment of rules, or a Gazette notification by the competent government.

Visual 16 - Recommendation workflow

ISSUE IDENTIFIED
|
officer/committee analysis + State/Union inputs
|
proposal placed on Council agenda
|
discussion / modification / consensus or vote
|
COUNCIL RECOMMENDATION
|
law / rule / notification / portal implementation
|
administration, litigation and feedback

Visual 17 - Who does what?

Actor	Constitutional/statutory role	Cannot be confused with
GST Council	recommends common design	Parliament or State legislature
Parliament	enacts CGST/IGST and related law	Council Secretariat
State legislature	enacts SGST law	Finance Commission
Union/State government	issues delegated notifications where authorised	primary legislature
CBIC/State tax administration	administers and enforces law	Council's weighted vote
courts/tribunals	interpret and review legal action	rate-setting political forum

Visual 18 - Legal-effect ladder

COUNCIL RECOMMENDATION

```

|
+-- if primary law needed -> legislature -> Act/amendment
|
+-- if delegated power exists -> government -> Gazette notification/rule
|
+-- if administrative/system step -> competent executive/GSTN process

```

[LIMIT] A press release announcing a recommendation is not by itself the safest source for the rate payable on a transaction. Use the applicable notification and effective date.

08. Quorum, weighted voting and coalition arithmetic

[FACT] One-half of the total Council membership constitutes quorum.

[FACT] A decision requires not less than three-fourths of the weighted votes of members present and voting. The Central Government carries one-third of the votes cast; all State Governments together carry two-thirds.

[ANALYSIS] The design gives the Union a blocking position because States alone can reach only two-thirds, below three-fourths. It does not give the Union a passing position because one-third is far below three-fourths.

Visual 19 - Formal vote formula

PASS if:

Union support weight + State support weight $\geq$ 3/4

Union support weight = 1/3 if Union votes yes, otherwise 0

State support weight = (States voting yes / States present and voting) $\times$ 2/3

Visual 20 - Why 5/8 of State votes are needed with Union support

required total = 3/4 = 9/12

Union yes = 1/3 = 4/12

remaining weighted support needed = 5/12

States collectively hold = 2/3

required fraction of State votes = (5/12) / (2/3)

= 5/8 = 62.5%

[ANALYSIS] Therefore, when the Union supports a proposal, at least five-eighths of the State votes present and voting must support it, subject to rounding to a whole number of States.

Visual 21 - Coalition examples with 20 States present and voting

Union	States in favour	Weighted total	Result
yes	13 of 20	$1/3 + (13/20 \times 2/3) = 0.7667$	passes
yes	12 of 20	$1/3 + (12/20 \times 2/3) = 0.7333$	fails
no	all 20	2/3	fails
yes	0	1/3	fails

[LIMIT] Abstentions change the denominator because Article 279A(9) refers to members present and voting, not every member on the constitutional roll.

Visual 22 - Consensus practice versus formal rule

Dimension	Consensus practice	Formal constitutional vote
objective	reduce visible federal division	resolve a proposal when voting occurs
legal threshold	political agreement	at least three-fourths weighted
Union position	negotiates	one-third weight
State position	negotiated collective voice	together two-thirds
exam line	common practice	binding procedural rule

[CURRENT] The official Council institutional page describes a general consensus-based approach. [LIMIT] Consensus does not repeal Article 279A(9).

09. Procedure, records and institutional accountability

[FACT] The conduct regulations provide for a duly constituted meeting under the Chairperson with at least half the members present, proposal circulation, discussion, division, running minutes, Chairperson-signed minutes and confirmation at the next meeting.

[ANALYSIS] Reasoned and timely publication matters because rate coordination affects revenue, prices, credit chains and State autonomy. Transparency improves both democratic accountability and judicially reviewable legality.

Visual 23 - Accountability chain

```

AGENDA + EVIDENCE
|
STATE/UNION POSITIONS
|
REASONS + RECOMMENDATION
|
MINUTES / PRESS RELEASE
|
LEGAL INSTRUMENT
|
REVENUE + DISTRIBUTIONAL OUTCOME
|
AUDIT / LEGISLATIVE SCRUTINY / COURT REVIEW

```

[LIMIT] Full publication may be shaped by Council directions and confidentiality. A reform demand for fuller reasons must be labelled a proposal, not current constitutional law.

10. GST mechanics the Council influences but does not itself levy

10.1 Dual GST

[FACT] Intra-State supplies generally attract Central GST and State GST (or Union Territory GST). Inter-State supplies generally attract IGST.

Visual 24 - Dual levy map

Transaction	Broad levy form	Revenue logic
intra-State supply	CGST + SGST/UTGST	shared tax base through parallel laws
inter-State supply	IGST	Union collection with credit and settlement
import	IGST treatment as inter-State supply, plus customs as applicable	destination principle
export/SEZ qualifying supply	zero-rated under IGST law	output burden relieved with credit/refund route subject to law

10.2 Input-tax credit

[FACT] CGST Act section 16 creates the entitlement framework for eligible input tax charged on inward supplies, subject to statutory conditions and restrictions. Section 49 governs use of the electronic credit ledger.

[ANALYSIS] ITC converts GST from a gross turnover tax toward a tax on value addition. Compliance and matching are integral because one firm's credit corresponds to tax reported elsewhere in the chain.

Visual 25 - ITC value chain

```
INPUT PURCHASE: tax paid = 18
|
OUTPUT SALE: tax liability = 30
|
eligible ITC used = 18
|
net cash tax = 12
```

[LIMIT] This illustration is conceptual. Actual eligibility depends on statutory conditions, blocked-credit rules, documentation and the supply's tax treatment.

10.3 Rates, exemptions and the notification problem

[FACT] CGST Act section 9(1) authorises notified rates on Council recommendation within the statutory ceiling. Section 11 authorises public-interest exemptions by notification on Council recommendation.

[FACT] The 56th Council release recommended broad 5, 18 and special 40 per cent rate categories. The official FAQ directed readers to the rate notification for revised legal rates.

Visual 26 - Rate decision is not one document

```
COUNCIL recommends category/rate/date
|
statutory authority checked
|
Gazette notification issued
|
classification + conditions + effective date applied
```

[CURRENT] Use the 56th meeting only as a dated reform anchor. [LIMIT] Do not answer a current item-rate question from the meeting headline alone.

Visual 27 - Exempt, nil-rated and zero-rated are not synonyms

Category	Output tax	ITC consequence, broad	Example logic
exempt supply	no output tax	credit may require reversal/restriction	exemption notification
nil-rated supply	rate schedule says nil	treated within exempt-supply framework for credit consequences	zero rate in tariff
zero-rated supply	special IGST-law category	credit/refund pathway may remain	exports and qualifying SEZ supplies
non-GST/outside levy	GST charge does not presently apply	GST credit chain may break	alcohol; deferred petroleum treatment

[LIMIT] Always read the statute and current notification; labels alone do not resolve every credit consequence.

10.4 Inverted duty structure

[FACT] An inverted duty structure arises where the tax rate on inputs exceeds the rate on outputs, generating accumulated credit.

Visual 28 - Inversion problem

```

INPUT TAX RATE HIGH
|
credit accumulates
|
OUTPUT TAX RATE LOWER
|
cash-flow / refund / classification pressure
|
Council may recommend rate correction
|
notification gives legal effect
  
```

[ANALYSIS] Rate rationalisation must balance fewer inversions, revenue neutrality, consumer incidence and sectoral lobbying.

11. Constitutional and statutory boundaries: alcohol, petroleum and electricity

Visual 29 - Three different exclusion logics

Item	Legal position	Correct wording
alcoholic liquor for human consumption	excluded from GST definition by Article 366(12A)	constitutionally outside GST definition
petroleum crude, HSD, petrol, natural gas, ATF	Article 279A(5) defers GST to Council-recommended date; retained entries operate	capable of future GST inclusion from notified date
electricity	State List Entry 53 preserves tax on consumption or sale; supply treatment also depends on GST law/notification	do not call it an Article 366(12A) exclusion

[FACT] State List Entry 54 retains taxes on sale of the specified petroleum products and alcoholic liquor for human consumption, subject to the entry's limits. Entry 53 retains taxes on consumption or sale of electricity.

[LIMIT] "Everything outside the current rate schedule is constitutionally excluded" is false. Constitutional exclusion, deferred commencement, retained tax entry and notification-based exemption are distinct.

12. GST compensation: the transition bargain

[FACT] The 101st Amendment required a parliamentary compensation law for five years. The Compensation to States Act defines the transition period as five years from the transition date.

[FACT] The Act set a projected nominal growth rate of 14 per cent per annum and used the financial year ending 31 March 2016 as the base year. Compensation broadly represented the gap between projected and actual protected revenue under the Act.

[FACT] The five-year compensation period ended in June 2022.

[LIMIT] Compensation was a statutory transition guarantee; it was not a permanent constitutional entitlement administered directly by the Council.

Visual 30 - Compensation calculation logic

BASE-YEAR REVENUE: FY 2015-16
|
apply 14% projected nominal annual growth
|
PROJECTED PROTECTED REVENUE
|
minus ACTUAL REVENUE defined by the Act
|
COMPENSATION PAYABLE, subject to audit and statutory calculation

Visual 31 - Compensation timeline

2017 GST launch
|
2017-2022 five-year transition protection
|
COVID shock -> cess shortfall -> back-to-back borrowing
|
June 2022 compensation period ends
|
cess on specified goods continues for loan/interest servicing
|
future transition only through official notification

[CURRENT] The 56th meeting FAQ states that existing GST and compensation-cess rates on specified tobacco goods would continue until the entire loan and interest liabilities on account of compensation cess are discharged, with later transition to be notified.

[LIMIT] No exact final repayment or cessation date is asserted in this package.

Visual 32 - Separate four often-confused concepts

Concept	What it is	What it is not
constitutional direction	section 18 of 101st Amendment	perpetual payment guarantee
Compensation Act formula	14 per cent projected growth over 2015-16 base for transition period	ordinary Finance Commission devolution
compensation cess	earmarked levy/fund mechanism	State's general GST share
back-to-back loans	pandemic shortfall financing	extension of the five-year compensation entitlement itself

[ANALYSIS] Compensation was the credibility device that enabled States to exchange independent indirect-tax fields for a negotiated common base. The COVID shortfall exposed how transition assurances can become federal trust tests.

13. Union of India v. Mohit Minerals (2022)

[FACT] The dispute concerned IGST on ocean freight in cost-insurance-freight imports and the validity of delegated notifications.

[FACT] The Supreme Court held that Council recommendations are not binding on the Union and State legislatures; they have persuasive value within a collaborative federal dialogue.

[FACT] The Court linked this conclusion to Article 246A's simultaneous legislative power and the absence of text making Article 246A subject to Article 279A.

[FACT] The Court also stated that where the CGST/IGST statutes make delegated rule-making or notification power conditional on Council recommendation, the executive must comply with that statutory condition.

[FACT] The ocean-freight levy failed because taxing the service component again conflicted with the statutory composite-supply scheme, even though the notification power was examined separately.

Visual 33 - Case pathway

```
CIF IMPORT
|
IGST already on value including freight
|
separate ocean-freight reverse-charge notification
|
challenge: competence + recipient + composite supply
|
SUPREME COURT
|-- Council recommendations persuasive for legislatures
|-- delegated executive remains bound by statutory conditions
+-- separate freight levy invalid within composite-supply scheme
```

Visual 34 - Exact holding matrix

Question	Holding	Qualification
Are Council recommendations binding on legislatures?	no; recommendatory/persuasive	high political and harmonising value remains
Does Article 246A preserve Union and State legislative power?	yes, within constitutional fields	Parliament exclusive for inter-State supply
May executive ignore a statute requiring Council recommendation?	no	statutory condition binds delegated action
Did the Court make the Council irrelevant?	no	collaborative dialogue remains central
Was every Council-linked notification invalidated?	no	ocean-freight outcome turned on statutory scheme

Visual 35 - Primary law versus delegated action

PARLIAMENT / STATE LEGISLATURE
Article 246A power
Council recommendation = persuasive, not binding

GOVERNMENT ISSUING NOTIFICATION
power comes from GST statute
if statute says "on Council recommendation"
the condition must be followed

[LIMIT] The safe proposition is not "Council decisions are optional in every setting." It is: recommendations do not bind primary legislative power, while a statute may bind executive action to a recommendation.

Visual 36 - Federal consequence of the judgment

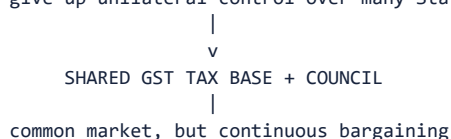
Reading	Federal effect	Risk
binding Council edict	uniformity	subordinates legislatures to an intergovernmental forum
persuasive recommendation	preserves legislative autonomy and dialogue	potential divergence if consensus fails
statute-conditioned notification	maintains lawful delegated coordination	requires precise statutory reading

[ANALYSIS] *Mohit Minerals* constitutionalises bargaining rather than command. Harmonisation is sustained by political interdependence, credit chains and common-market costs, not by treating the Council as a super-legislature.

14. Cooperative, competitive and confrontational federalism

Visual 37 - Pooled-sovereignty model

UNION gives up unilateral control over a fully central indirect-tax design
STATES give up unilateral control over many State indirect taxes



[ANALYSIS] GST is better described as **pooled sovereignty** than as either complete centralisation or complete State autonomy.

Visual 38 - Three operating modes

Mode	GST example	Value	Risk
cooperative	consensus on common rules and procedures	harmonisation	unequal bargaining may be hidden
competitive	States improve administration/compliance	innovation	enforcement race or taxpayer burden
confrontational	compensation, rate or exclusion dispute	autonomy and accountability	fragmentation and trust deficit

Visual 39 - Gains and autonomy costs

Claimed gain	Named mechanism	Qualification
reduced cascading	ITC chain	blocked/mismatched credit can interrupt
common market	harmonised base and IGST	exclusions and compliance variation remain
destination revenue	Article 269A	producing States faced transition concerns
joint voice	Article 279A membership/vote	Union has blocking weight
predictability	Council process and notifications	frequent change can create compliance cost
wider information	invoice system	privacy, capacity and false-invoice risks remain

[ANALYSIS] State autonomy shifted from unilateral rate-setting toward negotiated rule-making plus retained legislative competence after *Mohit Minerals*. The exchange is real, not costless.

15. Recurring conflicts and Article 279A(11)

[FACT] Article 279A(11) commands the Council to establish a mechanism to adjudicate disputes between the Union and State(s), opposing Union-State groupings, or two or more States, where the dispute arises from Council recommendations or implementation.

[LIMIT] This is an intergovernmental dispute clause. It is not the taxpayer appeal hierarchy under GST statutes.

Visual 40 - What clause (11) covers

Dispute pair	Within clause (11)?
Government of India versus one or more States	yes
Government of India and some States versus other State(s)	yes
two or more States	yes
taxpayer versus assessing officer	no; statutory appeal route
supplier versus customer	no; ordinary legal remedies

[CURRENT] No complete, separately published Article 279A(11) adjudicatory mechanism was located in the official public material reviewed for this control date.

Visual 41 - Current institutional gap

CONSTITUTIONAL DUTY: establish intergovernmental adjudicatory mechanism

officially visible Council committees / negotiation / minutes

taxpayer appeals and GSTAT are separate

[LIMIT] no verified complete clause (11) mechanism located

[ANALYSIS] reform need: neutral panel + procedure + reasons + review boundary

Conflict matrix

Conflict	Union concern	State concern	Balanced route
rate rationalisation	common market/revenue	local incidence and fiscal need	published modelling and transition
compensation	fiscal capacity/debt	trust and surrendered autonomy	transparent accounts and negotiated post-transition framework
petroleum inclusion	credit chain/inflation	VAT revenue autonomy	phased, product-specific decision with revenue safeguard
compliance	anti-evasion	small-business burden	risk-based, interoperable simplification
cesses	targeted revenue	divisible-pool erosion and autonomy	distinguish GST cess from Union cesses; improve transparency
divergent legislation	legal autonomy	harmonisation costs	Council dialogue plus constitutional litigation where necessary

16. Institutional comparison

Visual 42 - GST Council, Finance Commission, Inter-State Council and Zonal Councils

Dimension	GST Council	Finance Commission	Inter-State Council	Zonal Councils
base	Article 279A	Article 280	Article 263 enables establishment; 1990 order	States Reorganisation Act, 1956
continuity	standing forum	periodic commission	continuing advisory forum once established	standing statutory regional forums
membership	Union FM, Union MoS, State ministers	Chair + four expert members	PM, Union and State leadership under order	Union Home Minister and regional members
subject	GST design	tax devolution and grants	broad intergovernmental coordination	regional cooperation/security/development
output	recommendations	recommendations to President	advice/recommendations	deliberative recommendations
vote design	weighted 1/3 Union, 2/3 States, 3/4 threshold	no federal weighted vote	no Article 279A-style vote	no Article 279A-style vote
key trap	does not devolve divisible pool	does not set GST rates	not a GST rate body	statutory, not constitutional

Visual 43 - Which institution answers which question?

GST RATE / EXEMPTION / MODEL LAW? ----- GST COUNCIL
 UNION-STATE TAX DEVOLUTION / GRANTS? ----- FINANCE COMMISSION
 BROAD CENTRE-STATE POLICY COORDINATION? ---- INTER-STATE COUNCIL
 REGIONAL INTER-STATE COOPERATION? ----- ZONAL COUNCIL
 LEGALITY OF TAX/NOTIFICATION? ----- COURT / TRIBUNAL

[ANALYSIS] The GST Council coordinates a shared tax base; the Finance Commission redistributes shareable Union revenues. They interact in fiscal federalism but perform different constitutional jobs.

17. Accountability and reform agenda

[FACT] Present law already supplies membership, quorum, weighted voting, recommendations, statutory implementation and judicial review.

[ANALYSIS] Reform should improve evidence, reasons, federal trust and administrative simplicity without pretending that a proposal is enacted law.

Visual 44 - Reform matrix

Proposal	Problem addressed	Safeguard/qualification
publish fuller minutes and reasons	opaque trade-offs	protect legitimately confidential taxpayer data
independent revenue/distribution modelling	contested projections	publish assumptions and error bands
operationalise Article 279A(11)	unresolved intergovernmental disputes	define jurisdiction, neutrality and review
stable rate-review calendar	frequent compliance change	emergency flexibility retained
simplify rate structure	classification and inversion	protect revenue and vulnerable consumption
compensation-transition framework	post-2022 trust gap	do not recreate automatic permanent guarantee without law
strengthen small-business support	compliance burden	avoid weakening anti-evasion controls
assess local-government losses	octroi/entry-tax displacement	route through State-local fiscal architecture
transparent notification tracker	recommendation-law confusion	mark recommendation, notification and effective date separately

Visual 45 - Safe current-affairs writing protocol

1. NAME OFFICIAL MEETING + DATE
2. SAY "RECOMMENDED", NOT "LAW", AT COUNCIL STAGE
3. IDENTIFY NOTIFICATION / ACT FOR LEGAL EFFECT
4. STATE EFFECTIVE DATE
5. AVOID UNVERIFIED ITEM-WISE RATE LIST
6. ADD CONTROL DATE + VOLATILITY LIMIT

18. Answer-writing architecture

Visual 46 - Claim-evidence-analysis-qualification unit

Step	GST Council example
claim	the Council institutionalises shared fiscal rule-making
named evidence	Article 279A membership and 1/3-2/3 weighted vote
analysis	neither Union nor States can pass alone
qualification	Union can block; recommendations do not bind legislatures after <i>Mohit Minerals</i>

Visual 47 - Mark-scaled structure

Marks	Architecture	Evidence load
10	definition/thesis -> three mechanisms -> one limitation -> verdict	2 Articles + one statute/case
15	architecture -> voting -> law interaction -> federal evaluation -> verdict	4-6 named anchors
20	pre-GST problem -> Articles 246A/269A/279A -> mechanics -> compensation/case -> conflicts/reforms -> graded verdict	6-8 anchors and counterpoint

Visual 48 - Directive map

Directive	What examiner expects
explain significance	identify constitutional/economic change and why it matters
examine	test design against operation and limitations
critically analyse	gains, costs, counter-view and graded judgment
compare	common basis plus sharp distinctions
suggest	diagnosed problem -> feasible institutional remedy -> safeguard

Visual 49 - High-risk trap board

Wrong claim	Controlled correction
GST Council is statutory	constitutional under Article 279A
Prime Minister chairs it	Union Finance Minister
Revenue Secretary is constitutional member	ex-officio Secretary by administrative arrangement
Centre has half the vote	one-third
quorum is one-third	one-half
simple majority passes	at least three-fourths weighted
States can pass without Union	maximum State weight is two-thirds
recommendations always bind	persuasive for legislatures; statutes may bind delegated action
compensation is permanent constitutional right	five-year statutory transition ended June 2022
petroleum is outside forever	date may be recommended under Article 279A(5)
electricity equals alcohol exclusion	electricity follows a different entry/notification logic
Council press release itself changes tax	legal effect requires competent instrument

Visual 50 - Current-control board, 19 August 2026

Field	Safe statement
latest located official meeting release	56th meeting, 3 September 2025
broad rate reform anchor	recommended 5%, 18% and special 40%; most changes intended 22 September 2025
2026 official evidence	April newsletter records a rate notification amendment on Council recommendation
commodity-wise rates	omitted; verify applicable notification
compensation cess	specified old rates continued pending entire loan/interest discharge; no exact end date frozen
Article 279A(11)	duty exists; complete public mechanism not verified
case law	<i>Mohit Minerals</i> remains controlling Supreme Court proposition located

PYQ, Practice and Solved Workbook

[FACT] This H2 deliberately begins all practice material so that `markdown_learning_pdf.py --mode workbook` extracts the workbook and stops before the final consolidated register notes.

[FACT] Audited routing ledgers for 2018-2023, 2024-2025 and 2026 were searched for GST Council, Article 279A, Article 246A, GST, cooperative/accommodative federalism and *Mohit Minerals*.

[FACT] One direct Polity Mains PYQ was verified: **2023 GS-II Q15** on the 101st Amendment and accommodative federalism.

[FACT] Three closely adjacent verified GST questions are included without relabelling ownership: **2018 Prelims Q97** on GST exemption, **2019 GS-III Q1** on subsumed indirect taxes/revenue implications, and **2020 GS-III Q12** on compensation/COVID federal tension.

[FACT] One wider adjacent fiscal-federalism question, **2025 GS-II Q14**, is included because GST is one necessary reform dimension; its principal owner remains Centre-State Relations.

[LIMIT] No direct standalone 2024, 2025 or 2026 GST Council question was found in the audited routes. The 2016 Essay prompt “Cooperative federalism: Myth or reality” is thematically useful but is not relabelled here as a GST Council PYQ.

Visual 51 - PYQ route audit

Year	Stage/paper	Directness	Package treatment
2018	Prelims GS-I Q97	adjacent GST-rate/exemption mechanics	solve with historical-key limitation
2019	GS-III Q1	adjacent GST structure/economy	full model solution
2020	GS-III Q12	adjacent compensation/federalism	full model solution
2023	GS-II Q15	direct constitutional owner	full model solution
2025	GS-II Q14	broad fiscal-federalism adjacency	full routed model, ownership qualified

Verified PYQ 1 - UPSC Prelims 2018, Q97

Question: Consider the following items:

1. Cereal grains hulled
2. Chicken eggs cooked
3. Fish processed and canned
4. Newspapers containing advertising material

Which of the above items is/are exempted under GST (Goods and Services Tax)?

A. 1 only B. 2 and 3 only C. 1, 2 and 4 only D. 1, 2, 3 and 4

Controlled resolution

- [FACT] The audited ledger verifies the official question route but records that the local official key was unavailable.
- [ANALYSIS] The historically accepted resolution is **C: 1, 2 and 4**; processed/canned fish was not within the exemption combination.
- [LIMIT] This is not labelled an official UPSC key in this package. Item-specific 2018 rates are historical and must not be used as a 2026 rate list.

Why this earns marks: It answers the historical question while separating question verification, key status and current-rate volatility.

Verified PYQ 2 - UPSC GS-III 2019, Q1 - 10 marks, 150 words

Question: “Enumerate the indirect taxes which have been subsumed in the Goods and Services Tax (GST) in India. Also, comment on the revenue implications of the GST introduced in India since July 2017.”

Demand decoding

Part	Required response
enumerate	name Central and State levies, not generic “many taxes”
comment	gains plus transition/revenue qualifications
time frame	introduction since July 2017

Evidence-led model solution

GST subsumed major Central levies such as central excise on most goods, service tax, additional excise duties, countervailing duty and special additional customs duty, along with relevant Central cesses and surcharges on supply. At the State level it absorbed VAT/sales tax on most goods, Central Sales Tax, purchase tax, entry tax/octroi, luxury tax, and most entertainment, betting, gambling and lottery taxes.

The revenue logic was positive in design. [FACT] Article 246A created a shared tax base, Article 269A enabled destination-based IGST settlement, and invoice-linked ITC reduced cascading. [ANALYSIS] A wider common base and digital reporting could improve buoyancy and formalisation.

The transition was uneven. Rate changes, refund delays, ITC mismatches and compliance costs affected collections and working capital. Destination taxation generated adjustment concerns for producing States, which explains the five-year Compensation Act bargain. Petroleum, alcohol, electricity duty, stamp duty and basic customs duty also qualify the “single tax” claim.

GST therefore improved the architecture for long-run revenue and a common market, but its fiscal result depends on base design, compliance, refunds, economic conditions and federal trust rather than the label alone.

Why this earns marks: It enumerates named levies, links revenue to Articles 246A/269A and ITC, and qualifies the answer with exclusions and transition costs.

Verified PYQ 3 - UPSC GS-III 2020, Q12 - 15 marks, 250 words

Question: “Explain the rationale behind the Goods and Services Tax (Compensation to States) Act of 2017. How has COVID-19 impacted the GST compensation fund and created new federal tensions?”

Evidence-led model solution

The Compensation to States Act, 2017 converted the political assurance behind GST into a time-bound statutory revenue guarantee. States surrendered VAT, entry tax and other independent levies and accepted a destination-based common tax. Manufacturing States feared transition losses and all States faced uncertainty over a new base and compliance system.

[FACT] The Act therefore defined a five-year transition period, adopted FY 2015-16 as the base and projected 14 per cent annual nominal growth in protected revenue. Compensation equalled the statutory gap between projected and actual revenue, financed through a compensation cess and fund. [ANALYSIS] This was the credibility price of pooled sovereignty.

COVID-19 simultaneously reduced GST/cess receipts and raised State health and welfare expenditure. The compensation requirement exceeded the available cess fund, producing disagreement over whether and how the Union should borrow. Back-to-back loans were arranged and cess collection continued beyond the compensation period for debt and interest servicing.

The tension was federal because States had lost much unilateral rate space yet remained responsible for essential services. The Union faced its own borrowing and macro-stability constraints. Delays and uncertainty weakened trust in the Council bargain.

The five-year compensation entitlement ended in June 2022; current cess servicing must not be described as an extension of that entitlement. Future reform requires transparent cess accounts, predictable settlement and a negotiated shock-sharing framework rather than ad hoc bargaining.

Why this earns marks: It explains the statutory formula, connects it causally to surrendered autonomy, addresses both COVID revenue mechanics and competing federal constraints, and ends with a precise post-2022 qualification.

Verified PYQ 4 - UPSC GS-II 2023, Q15 - 15 marks, 250 words

Question: “Explain the significance of the 101st Constitutional Amendment Act. To what extent does it reflect the accommodative spirit of federalism?”

Demand decoding

Demand	Evidence route
significance	pre-GST fragmentation; Articles 246A, 269A, 279A; common market
accommodative extent	composition, vote, compensation and dialogue
qualification	Union veto, State autonomy cost, compensation friction, <i>Mohit Minerals</i>

Evidence-led model solution

The 101st Constitutional Amendment is significant because it did not merely introduce a tax; it restructured India's fiscal Constitution. [FACT] Article 246A gives Parliament and State legislatures simultaneous GST power, while reserving inter-State supply to Parliament. Article 269A creates the IGST levy-apportionment bridge. Article 279A establishes a permanent Union-State Council. Article 366(12A) shifts the base to supply while excluding alcoholic liquor for human consumption.

The design reflects accommodative federalism in four ways. First, it pools previously separate tax fields rather than transferring them wholly to one level. Second, every State receives ministerial representation. Third, the Union has one-third and States collectively two-thirds of weighted votes, while three-fourths is required; neither side can pass alone. Fourth, the five-year Compensation Act bargain protected the transition.

Accommodation is qualified. The Union can block a proposal, States lost unilateral rate flexibility, and the end of compensation exposed revenue dependence. Exclusions and compliance burdens prevent a fully seamless market.

Union of India v. Mohit Minerals (2022) preserves the federal balance by treating Council recommendations as persuasive, not binding on legislatures, while recognising collaborative dialogue. Statutes may nevertheless condition executive notifications on Council recommendation.

Thus, the Amendment is India's boldest experiment in pooled fiscal sovereignty. Its accommodative character is strong in design but depends in practice on transparent evidence, consensus, dispute settlement and respect for State fiscal capacity.

Why this earns marks: It answers both limbs, uses the three-article architecture, computes the federal design, deploys compensation and *Mohit Minerals*, and gives a graded rather than celebratory verdict.

Verified adjacent PYQ 5 - UPSC GS-II 2025, Q14 - 15 marks, 250 words

Question: “Examine the evolving pattern of Centre-State financial relations in the context of planned development in India. How far have the recent reforms impacted the fiscal federalism in India?”

[LIMIT] The principal owner is Centre-State Relations. GST Council material supplies one dimension and cannot replace Finance Commission, Article 282, cesses/surcharges and borrowing analysis.

Evidence-led routed model solution

Centre-State finance evolved from a mixed Finance Commission-Planning Commission system toward a more rule-based but still Union-influenced architecture. During planned development, Finance Commissions handled tax sharing and grants while the Planning Commission and centrally sponsored schemes channelled significant discretionary assistance under Article 282.

Recent reforms changed both institutions and tax bases. The Fourteenth Finance Commission enlarged untied devolution; NITI Aayog replaced the Planning Commission; and plan/non-plan classification ended. [FACT] The 101st Amendment then pooled major indirect taxes through Articles 246A, 269A and 279A. The GST Council gave States a continuing role in common tax design, and the five-year compensation law eased transition.

The impact is substantial but mixed. Formula-based devolution and the Council improved predictability and consultation. *Mohit Minerals* protected legislative autonomy by making Council recommendations persuasive. Yet cesses and surcharges narrow the divisible pool, centrally sponsored schemes retain conditions, GST reduced unilateral State rate-setting, and the June 2022 end of compensation sharpened revenue concerns. Article 293 borrowing consent and uneven State tax capacity add asymmetry.

Reform should widen transparent untied transfers, rationalise cesses and schemes, publish GST revenue modelling, operationalise Article 279A(11), strengthen State and local own revenues and coordinate debt rules.

Fiscal federalism has become more institutionalised and consultative, but not automatically more decentralised. Its quality depends on the real fiscal space behind the formal forums.

Why this earns marks: It keeps GST in its proper place inside the wider transfer-and-borrowing system, uses named constitutional evidence and tests reforms against autonomy, equalisation and transparency.

Original MCQs - 36 questions

OM1. Special legislative competence

Which provision creates the special shared legislative power over GST?

A. Article 246A B. Article 263 C. Article 280 D. Article 301

Answer: A.

Explanation: [FACT] Article 246A gives Parliament and State legislatures GST competence, subject to Parliament's exclusive power over inter-State supplies.

OM2. Inter-State supply

Under Article 246A(2), exclusive legislative power over GST on inter-State supply belongs to:

A. State legislatures collectively. B. Parliament. C. the GST Council. D. the Finance Commission.

Answer: B.

Explanation: [FACT] The Council recommends and Article 269A handles allocation, but Parliament has the exclusive inter-State legislative field.

OM3. IGST bridge

Which Article provides for Union levy and collection of GST on inter-State supplies with apportionment?

A. Article 268 B. Article 270 C. Article 269A D. Article 279

Answer: C.

Explanation: [FACT] Article 269A is the constitutional IGST and place-of-supply bridge.

OM4. Council chair

The constitutional Chairperson of the GST Council is:

A. the Prime Minister. B. the Revenue Secretary. C. the Minister of State for Finance. D. the Union Finance Minister.

Answer: D.

Explanation: [FACT] Article 279A(2)(a) expressly names the Union Finance Minister.

OM5. State representation

Each State Government is represented constitutionally by:

A. its finance/taxation minister or another minister it nominates. B. its Chief Secretary only. C. one legislator elected by the Assembly. D. the Governor.

Answer: A.

Explanation: [FACT] Article 279A(2)(c) uses ministerial representation, not officials as voting substitutes.

OM6. Vice-Chair

The Vice-Chairperson is chosen:

A. by the President from Union ministers. B. by State members from among themselves for a period they decide. C. automatically by seniority among Chief Ministers. D. by the Council Secretariat.

Answer: B.

Explanation: [FACT] Article 279A(3) leaves both selection and period to State members.

OM7. Secretariat status

Which statement is correct?

A. Article 279A makes the Revenue Secretary a voting member. B. The CBIC Chairperson carries the Union's one-third vote. C. The Secretariat is an administrative arrangement supporting the constitutional Council. D. The Constitution creates an independent permanent GST civil service.

Answer: C.

Explanation: [FACT] The Cabinet approved the Secretariat, ex-officio Secretary and non-voting invitee; these are not additional constitutional members.

OM8. Recommendation field

Which subject is not an Article 279A(4) recommendation field?

A. thresholds for GST exemption. B. floor rates with bands. C. special disaster rates. D. horizontal tax devolution among States from the divisible pool.

Answer: D.

Explanation: [FACT] Horizontal devolution belongs to the Finance Commission architecture, not GST Council rate design.

OM9. Petroleum date

Article 279A(5) requires the Council to recommend:

A. the date for GST levy on five specified petroleum products. B. permanent exclusion of every petroleum product. C. State VAT rates on alcohol. D. customs duty on crude oil.

Answer: A.

Explanation: [FACT] Crude, HSD, petrol, natural gas and ATF are deferred to a Council-recommended date.

OM10. Quorum

The constitutional quorum is:

A. one-third of voting States. B. one-half of total Council members. C. two-thirds of all members. D. three-fourths of members present.

Answer: B.

Explanation: [FACT] Article 279A(7) fixes one-half of total membership.

OM11. Passing threshold

A formal Council decision requires:

A. simple majority of persons present. B. two-thirds of unweighted votes. C. at least three-fourths of weighted votes present and voting. D. unanimity.

Answer: C.

Explanation: [FACT] Consensus is practice; Article 279A(9) supplies the weighted legal threshold.

OM12. Vote weights

Which pairing is correct?

A. Union one-half; States one-half. B. Union two-thirds; States one-third. C. Union one-fourth; States three-fourths. D. Union one-third; States together two-thirds.

Answer: D.

Explanation: [FACT] The Constitution divides total votes cast in that ratio.

OM13. Union blocking position

Why can the Union block a proposal?

A. Without Union support, State weight can reach only two-thirds, below three-fourths. B. The Chairperson has an absolute veto written in Article 279A. C. Every State vote is advisory. D. Parliament must first approve each vote.

Answer: A.

Explanation: [ANALYSIS] The blocking effect follows arithmetically from the constitutional weights, not from a separate veto clause.

OM14. State coalition needed

If the Union votes in favour, what fraction of State votes present and voting must support the proposal at minimum?

A. one-half. B. five-eighths. C. two-thirds. D. three-fourths.

Answer: B.

Explanation: [ANALYSIS] Three-fourths minus one-third leaves five-twelfths; divided by the States' two-thirds weight, this equals five-eighths.

OM15. Consensus

Which statement best describes consensus in the Council?

A. It constitutionally replaces voting. B. It means the Union has no vote. C. It is a preferred practice operating alongside the formal Article 279A(9) rule. D. It requires judicial certification.

Answer: C.

Explanation: [FACT] The official Council page describes consensus practice; [LIMIT] the weighted rule remains legally available.

OM16. Council recommendation and law

A Council press release announcing a rate change:

A. automatically amends every GST Act. B. is equivalent to a Supreme Court order. C. binds consumers before any effective date. D. must be followed through the competent legal instrument for enforceable effect.

Answer: D.

Explanation: [FACT] Statutes and Gazette notifications create the applicable liability.

OM17. Dual GST

An ordinary intra-State taxable supply broadly attracts:

A. CGST plus SGST/UTGST. B. IGST only. C. customs duty only. D. compensation cess only.

Answer: A.

Explanation: [FACT] Parallel Union and State/UT laws operationalise the shared Article 246A field.

OM18. Input-tax credit

The core economic function of eligible ITC is to:

A. replace every tax with a fee. B. reduce cascading by crediting eligible input tax against output liability. C. exempt every business input. D. transfer GST Council votes.

Answer: B.

Explanation: [FACT] Sections 16 and 49 form the broad credit-entitlement and use architecture.

OM19. Inverted duty

An inverted duty structure occurs where:

A. output is exported. B. no invoice is issued. C. the input tax rate exceeds the output tax rate. D. direct tax exceeds indirect tax.

Answer: C.

Explanation: [FACT] The mismatch can accumulate credit and create refund/cash-flow pressure.

OM20. Zero-rating

Which category is designed to preserve a credit/refund route despite relief from output burden?

A. every non-GST supply. B. every exempt domestic supply. C. every nil-rated supply. D. zero-rated supply under the IGST framework.

Answer: D.

Explanation: [FACT] Exports and qualifying SEZ supplies are the standard zero-rating examples, subject to law.

OM21. Alcohol boundary

Alcoholic liquor for human consumption is:

A. excluded from the GST definition by Article 366(12A). B. merely deferred under Article 279A(5). C. zero-rated by Article 269A. D. assigned to the Finance Commission.

Answer: A.

Explanation: [FACT] This is a constitutional definition exclusion, unlike the petroleum-duty mechanism.

OM22. Electricity boundary

Which statement is precise?

A. Electricity is excluded by the same words as alcohol in Article 366(12A). B. State List Entry 53 retains tax on consumption or sale of electricity; GST supply treatment also depends on law/notification. C. Electricity duty was constitutionally converted into IGST. D. The GST Council alone collects electricity duty.

Answer: B.

Explanation: [FACT] Electricity follows a different constitutional and notification route from alcohol and petroleum.

OM23. Compensation base

The Compensation Act used which base year?

A. 2016-17. B. 2017-18. C. financial year ending 31 March 2016. D. 2019-20.

Answer: C.

Explanation: [FACT] Section 4 identifies FY 2015-16 as the base year.

OM24. Protected growth

The projected nominal annual growth rate under the Compensation Act was:

A. 10 per cent. B. 12 per cent. C. 15 per cent. D. 14 per cent.

Answer: D.

Explanation: [FACT] Section 3 set 14 per cent for the transition period.

OM25. Compensation duration

The statutory transition period was:

A. five years from the transition date. B. permanent. C. ten years from enactment. D. dependent on each Finance Commission.

Answer: A.

Explanation: [FACT] The five-year period ended in June 2022 for the GST launch timeline.

OM26. Cess after June 2022

Which statement is safe?

A. The compensation entitlement automatically became permanent. B. Cess continuation for pandemic loan/interest servicing is distinct from extending the five-year entitlement. C. Every cess entered the divisible pool. D. States acquired power to set the cess unilaterally.

Answer: B.

Explanation: [CURRENT] The official 56th FAQ links specified cess continuation to discharge of loan and interest liabilities.

OM27. Mohit Minerals

The Supreme Court held Council recommendations to legislatures are:

A. binding decrees. B. constitutional amendments. C. persuasive/recommendatory. D. irrelevant.

Answer: C.

Explanation: [FACT] The Court tied recommendatory status to simultaneous legislative power and collaborative dialogue.

OM28. Delegated notification

After *Mohit Minerals*, where a GST statute authorises notification “on the recommendations of the Council”:

A. the executive may ignore the condition. B. only States must comply. C. the recommendation automatically becomes primary law. D. the executive must satisfy the statutory condition.

Answer: D.

Explanation: [FACT] The judgment separates legislative autonomy from statute-bound delegated action.

OM29. Ocean freight

The ocean-freight levy was ultimately invalid because:

A. it conflicted with the statutory composite-supply scheme and duplicated the freight component. B. Article 279A was repealed. C. imports cannot be inter-State supplies. D. the Council lacked any power to discuss freight.

Answer: A.

Explanation: [FACT] The Court's outcome rested on the IGST/CGST statutory scheme, not a blanket invalidation of Council-linked notifications.

OM30. Article 279A(11)

The clause (11) mechanism concerns:

A. taxpayer assessment appeals. B. intergovernmental disputes arising from Council recommendations or implementation. C. private commercial arbitration. D. election disputes.

Answer: B.

Explanation: [FACT] It covers Union-State and State-State disputes, not the ordinary taxpayer hierarchy.

OM31. Finance Commission comparison

Which body recommends Union-State tax devolution and grants?

A. GST Council. B. Inter-State Council. C. Finance Commission. D. Zonal Council.

Answer: C.

Explanation: [FACT] Article 280 performs redistribution; Article 279A coordinates GST design.

OM32. Inter-State Council comparison

The Inter-State Council is best distinguished as:

A. the rate-notification authority. B. a periodic expert tax commission. C. a statutory regional body. D. a broad advisory coordination forum enabled by Article 263.

Answer: D.

Explanation: [FACT] It does not possess the GST Council's weighted tax vote.

OM33. Local-government effect

Which is the soundest analytical statement?

A. Subsuming entry tax/octroi can affect local own-revenue space, requiring State-local fiscal adjustment. B. Municipalities became GST Council voting members. C. GST compensation was paid constitutionally to every municipality. D. Article 279A replaced State Finance Commissions.

Answer: A.

Explanation: [ANALYSIS] Local effects are real, but constitutional compensation was to States and local finance remains State-mediated.

OM34. Latest located meeting release

For this package's control date, the latest official meeting recommendation release located was:

A. a 2026 57th meeting release. B. the 56th meeting release of 3 September 2025. C. the 55th meeting only. D. no official release.

Answer: B.

Explanation: [CURRENT] No later official meeting release was established; April 2026 material was a newsletter, not a new meeting outcome.

OM35. Current rate writing

The safest way to state a current GST rate is:

A. rely only on coaching summaries. B. quote the Council headline without date. C. identify the applicable notification, classification, conditions and effective date. D. assume every recommendation was notified unchanged.

Answer: C.

Explanation: [LIMIT] Council recommendations and legally effective rates are distinct stages.

OM36. Reform status

Which statement correctly labels reform?

A. Article 279A already mandates public release of every internal model. B. An independent fiscal council currently sets GST rates. C. Article 279A(11) has been repealed. D. Fuller reasons, independent data and a neutral dispute panel are proposals, not current law.

Answer: D.

Explanation: [ANALYSIS] Reform proposals must be separated from enacted constitutional and statutory rules.

Remedial MCQs - 12 questions

RM1. Quorum-versus-weight trap

Which pairing is correct?

A. quorum one-half; Union vote weight one-third. B. quorum one-third; Union vote weight one-half. C. both are three-fourths. D. both are two-thirds.

Answer: A.

Explanation: [FACT] These are separate constitutional fractions with different functions.

RM2. Union-pass trap

The Union voting alone:

A. passes because it chairs the meeting. B. cannot pass because its weight is only one-third. C. passes if quorum exists. D. converts the recommendation into law.

Answer: B.

Explanation: [FACT] Three-fourths weighted support is required.

RM3. States-alone trap

All States present and voting in favour, with the Union opposed, produce at most:

A. three-fourths. B. four-fifths. C. two-thirds, so the proposal fails. D. unanimity.

Answer: C.

Explanation: [ANALYSIS] State weight cannot cross the formal threshold without Union support.

RM4. Recommendation trap

“Council recommendations are non-binding” means:

A. the Council is unconstitutional. B. no GST notification needs Council input. C. States may ignore every statutory condition. D. primary legislatures retain power, while delegated action remains governed by its statute.

Answer: D.

Explanation: [FACT] This is the precise *Mohit Minerals* distinction.

RM5. Petroleum trap

Which statement corrects “petrol can never enter GST”?

A. Article 279A(5) allows GST from a Council-recommended and legally notified date. B. Petrol was excluded by Article 366(12A). C. The Finance Commission fixes the date. D. State legislatures alone decide inter-State petrol GST.

Answer: A.

Explanation: [FACT] Deferral is not permanent constitutional exclusion.

RM6. Compensation trap

Which statement is correct?

A. Article 279A permanently guarantees 14 per cent revenue growth. B. The 2017 Act created a five-year, formula-based transition guarantee. C. Compensation is an Article 280 grant. D. June 2022 ended every compensation-cess liability immediately.

Answer: B.

Explanation: [FACT] Separate constitutional direction, statute, cess and loan servicing.

RM7. Exemption trap

Which distinction is correct?

A. exempt and zero-rated always have identical ITC consequences. B. non-GST and nil-rated are constitutional synonyms. C. zero-rating can preserve credit/refund pathways unlike ordinary exemption. D. the Council itself credits refunds.

Answer: C.

Explanation: [FACT] Credit consequences depend on the category and statutory framework.

RM8. Secretariat trap

Which statement is inaccurate?

A. Revenue Secretary is ex-officio Secretary by administrative arrangement. B. CBIC Chair is a non-voting permanent invitee. C. the Secretariat supports Council proceedings. D. Article 279A makes the Secretariat a fourth constitutional government.

Answer: D.

Explanation: [LIMIT] Administrative support must not be inflated into a constitutional tier.

RM9. Latest-source trap

Which dated formulation is safest?

- A. "As of 19 August 2026, the latest official meeting release located is the 56th meeting release of 3 September 2025."
B. "A 57th meeting certainly occurred in August 2026." C. "The April 2026 newsletter is the 57th meeting." D. "All 2025 recommendations were self-executing."

Answer: A.

Explanation: [CURRENT] The statement reports the evidence located without claiming universal absence.

RM10. Electricity trap

Electricity is best handled by saying:

- A. it is excluded by Article 366(12A) exactly like alcohol. B. State Entry 53 and applicable GST notifications must be distinguished. C. Article 269A makes every electricity sale inter-State. D. it is a Finance Commission tax.

Answer: B.

Explanation: [FACT] This avoids collapsing different constitutional and statutory routes.

RM11. Clause (11) trap

GSTAT is not automatically the Article 279A(11) mechanism because:

- A. GSTAT sets rates. B. Article 279A(11) was omitted. C. GSTAT handles statutory taxpayer appeals, while clause (11) concerns intergovernmental disputes. D. only Parliament may hear tax cases.

Answer: C.

Explanation: [FACT] The disputants and legal sources differ.

RM12. Institutional comparison trap

Which pairing is wrong?

- A. Finance Commission - tax devolution. B. Inter-State Council - broad coordination. C. Zonal Councils - regional statutory forum. D. GST Council - final CAG certification of net proceeds.

Answer: D.

Explanation: [FACT] CAG certification under Article 279 belongs to fiscal-transfer mechanics, not Council rate design.

Original solved Mains practice - 8 questions

Original Solved Mains 1 - 10 marks, 150 words

Question: Distinguish the constitutional roles of Articles 246A, 269A and 279A in India's GST architecture.

Model solution

The three provisions solve different parts of one federal tax problem.

[FACT] **Article 246A** creates legislative competence. Parliament and State legislatures possess simultaneous power over GST, while Parliament has exclusive power over inter-State supplies. It is a special constitutional field, not a normal Concurrent List entry.

[FACT] **Article 269A** creates the inter-State bridge. The Government of India levies and collects IGST, which is apportioned between Union and States under parliamentary law on Council recommendation. Imports are treated as inter-State supplies and Parliament formulates place-of-supply principles.

[FACT] **Article 279A** establishes the Union-State Council that recommends rates, exemptions, thresholds, model laws, apportionment principles and other GST matters.

[ANALYSIS] Together they connect power, revenue destination and negotiated harmonisation. [LIMIT] The Council does not enact tax statutes, and Article 269A does not give States independent inter-State legislative power.

Thus, Article 246A answers **who legislates**, Article 269A **how inter-State GST is allocated**, and Article 279A **how common design is negotiated**.

Why this earns marks: It uses one precise function and one limitation for each Article, avoiding the common error of treating all three as Council provisions.

Original Solved Mains 2 - 10 marks, 150 words

Question: Explain the GST Council's voting arithmetic and its federal significance.

Model solution

[FACT] Article 279A requires one-half of total members for quorum. A decision needs at least three-fourths of weighted votes of members present and voting. The Union has one-third; States collectively have two-thirds.

The arithmetic deliberately prevents unilateral passage. The Union alone has only one-third. States alone can reach only two-thirds, below three-fourths. If the Union supports a proposal, the remaining five-twelfths must come from the States; this equals five-eighths, or 62.5 per cent, of State votes present and voting.

[ANALYSIS] The system combines a Union blocking position with a compulsory State coalition. It supports harmonisation because both levels must negotiate. Consensus practice further lowers the political cost of formal division.

[LIMIT] The balance is asymmetric: the Union can block alone, while no single State has comparable weight. Abstentions also alter the State denominator.

The voting design is therefore accommodative but not perfectly equal federalism: it constitutionalises bargaining between a nationally weighted Union and collectively weighted States.

Why this earns marks: It computes the five-eighths requirement, explains both non-unilateralism and asymmetry, and distinguishes quorum, weight and consensus.

Original Solved Mains 3 - 15 marks, 250 words

Question: "The GST Council recommends, but legislatures and governments give legal effect." Examine.

Model solution

The GST Council is a constitutional coordinating institution, not a super-legislature.

[FACT] Article 279A(4) authorises recommendations on subsumed taxes, taxable or exempt supplies, model laws, place of supply, thresholds and rates. Article 246A separately vests legislative power in Parliament and State legislatures. The CGST, SGST and IGST Acts therefore create the charge, liability, credit, procedure and remedies.

Delegated action forms the next layer. [FACT] CGST Act section 9 permits notified rates and specified reverse-charge categories on Council recommendation; section 11 permits public-interest exemptions on Council recommendation. The applicable rate depends on the competent Gazette notification, classification, conditions and effective date, not merely the meeting press release.

Union of India v. Mohit Minerals (2022) clarifies the relationship. Council recommendations are persuasive, not binding on primary legislatures, because Article 246A confers simultaneous legislative power. However, where a statute conditions executive rule-making or notification on Council recommendation, the executive must follow that statutory requirement.

[ANALYSIS] This layered system preserves democratic legislative authority while enabling national harmonisation. Its weakness is communication: recommendation, enactment, notification and portal implementation may occur at different times.

[LIMIT] "Non-binding" does not mean irrelevant, and "Council decided" does not by itself prove a taxpayer's current liability.

Reform should publish a single tracker marking recommendation, instrument, effective date and implementation status.

Why this earns marks: It uses Articles 279A/246A, sections 9/11 and *Mohit Minerals* to trace the full legal-effect chain with a practical reform.

Original Solved Mains 4 - 15 marks, 250 words

Question: Assess whether GST has strengthened cooperative federalism while weakening State fiscal autonomy.

Model solution

GST simultaneously strengthens intergovernmental cooperation and narrows unilateral State tax choice.

Cooperation strengthened. [FACT] Article 279A places every State at a ministerial table with the Union. The one-third Union, two-thirds States and three-fourths threshold prevents unilateral passage. Article 269A requires common inter-State settlement, while the five-year Compensation Act enabled States to enter a destination-based system. Shared rules reduce cascading and internal tax barriers.

Autonomy constrained. States surrendered VAT, entry tax and other levies and cannot independently redesign the common base without credit-chain and market consequences. The Union's one-third weight gives it a blocking position. Compliance systems, rate rationalisation and the June 2022 end of compensation can deepen revenue dependence, especially for States with narrow own-tax bases.

Constitutional counterweight. [FACT] *Mohit Minerals* treats Council recommendations as persuasive, preserving State legislative power under Article 246A. States also retain alcohol, electricity-duty and specified-petroleum fields. Thus GST collectivises rather than extinguishes autonomy.

[ANALYSIS] The correct test is not whether States remain fully sovereign over rates, but whether negotiated decisions rest on transparent data, credible transitions and fair dispute resolution.

[LIMIT] Consensus can coexist with unequal fiscal leverage.

GST is cooperative in institutional design and centralising in some fiscal effects. Its federal legitimacy depends on making pooled sovereignty genuinely reciprocal.

Why this earns marks: It presents a balanced thesis, links every side to named provisions and gives a graded autonomy verdict rather than a binary label.

Original Solved Mains 5 - 15 marks, 250 words

Question: Explain the compensation bargain under GST and evaluate the post-June 2022 federal challenge.

Model solution

GST compensation was the transition price of a major federal tax bargain.

[FACT] Section 18 of the 101st Amendment directed a parliamentary law for five-year compensation. The 2017 Act used FY 2015-16 as the base, projected 14 per cent annual nominal growth and compensated the statutory gap between projected and actual revenue. A compensation cess and non-lapsable fund financed payments.

[ANALYSIS] The design addressed three State concerns: surrender of VAT and entry-tax autonomy, destination-based revenue movement away from production, and uncertainty during migration to a common compliance system. It converted political assurance into a calculable legal commitment.

COVID-19 damaged both sides of the formula: collections and cess receipts fell while protected requirements and State expenditure pressure rose. Back-to-back borrowing bridged part of the shortfall and cess collection continued for debt/interest servicing.

The compensation entitlement ended in June 2022. [LIMIT] Continuing cess on specified goods is not a perpetual extension of the 14 per cent guarantee. The official 56th meeting FAQ linked transition of specified tobacco rates to complete discharge of loan and interest liabilities but gave no exact final date used here.

Post-2022 challenges include weaker trust, uneven State revenue capacity and no settled shock-sharing rule. Reform should publish cess accounts, distinguish entitlement from debt service, model State-specific transition effects and negotiate a rules-based emergency facility.

Why this earns marks: It states the exact formula and period, explains political rationale, separates COVID financing from entitlement and offers feasible post-transition reforms.

Original Solved Mains 6 - 20 marks, 250 words

Question: Critically analyse the constitutional and economic case for bringing the five specified petroleum products into GST.

Model solution

The Constitution postpones, rather than prohibits, GST on petroleum crude, high-speed diesel, petrol, natural gas and aviation turbine fuel. [FACT] Article 279A(5) requires a Council-recommended date; Article 246A's explanation and CGST Act section 9(2) connect levy to that date and notification.

Case for inclusion. Petroleum is a major business input. Exclusion breaks ITC chains in transport, aviation, industry and power-linked sectors, embeds tax in prices and weakens the common-market claim. IGST settlement could reduce inter-State distortions, and a harmonised base could improve transparency.

Federal and fiscal objections. State VAT on fuel is a substantial, adjustable own-revenue source; Union excise also serves fiscal and policy goals. GST inclusion could reduce rate flexibility, create compensation demands and expose revenue to Council bargaining. Fuel prices carry inflation, environmental and distributional effects, so a low uniform rate may be fiscally costly while a high rate may defeat simplification.

Design route. The Council should use product-specific modelling rather than an all-at-once slogan: publish revenue-neutral scenarios, protect existing debt/fiscal space, allow a transition band, integrate ITC gradually, and review carbon and transport effects. Natural gas or ATF may present different trade-offs from petrol and diesel.

[LIMIT] Inclusion requires a Council recommendation and legally effective instrument; it is not achieved by policy speech.

Petroleum inclusion has a strong efficiency case but must be a negotiated fiscal transition. The constitutional answer is phased cooperative federalism, not permanent exclusion or abrupt uniformity.

Why this earns marks: It begins with exact Article 279A(5), weighs credit-chain gains against State own-revenue loss, differentiates products and supplies an implementable route.

Original Solved Mains 7 - 20 marks, 250 words

Question: Evaluate *Mohit Minerals* as a judgment on fiscal federalism rather than merely an ocean-freight tax case.

Model solution

Union of India v. Mohit Minerals (2022) arose from IGST on ocean freight in CIF imports, but its constitutional significance lies in defining authority inside the GST compact.

[FACT] The Supreme Court held Council recommendations non-binding on Union and State legislatures and persuasive within collaborative dialogue. Article 246A grants simultaneous power; it is not made subject to Article 279A. Treating Council recommendations as binding edicts would subordinate legislatures and disturb fiscal federalism.

The judgment nevertheless preserves coordination. Where CGST/IGST statutes condition delegated notification or rule-making on Council recommendation, the executive is bound by that statutory requirement. The Court also did not invalidate the Council as an institution. It invalidated the ocean-freight levy because the separate service charge conflicted with the statutory composite-supply framework in which IGST had already captured freight within import value.

[ANALYSIS] The ruling shifts GST from hierarchical uniformity to negotiated harmonisation. States retain constitutional voice and may contest, while credit chains and market costs create incentives to agree. This recognises Indian federalism as cooperation plus possible contestation.

[LIMIT] The decision can generate divergence if political dialogue fails, and it does not answer every notification dispute. Nor does it make Council expertise dispensable.

The best institutional response is reasoned recommendations, transparent impact data and an operational Article 279A(11) mechanism. *Mohit Minerals* strengthens the Council by grounding its legitimacy in persuasion and law, not command.

Why this earns marks: It connects the case facts, constitutional holding, delegated-action qualification and federal consequence, while rejecting both "binding Council" and "irrelevant Council" extremes.

Original Solved Mains 8 - 20 marks, 250 words

Question: Suggest an accountability and reform framework that can make the GST Council a more durable institution of fiscal federalism.

Model solution

The Council's durability depends on whether States and taxpayers can trace a recommendation from evidence to legal effect and fiscal outcome.

First, improve deliberative transparency. Publish agendas where feasible, fuller minutes, dissent, revenue assumptions and reasons. A notification tracker should separately mark Council recommendation, statutory authority, Gazette instrument, effective date and portal implementation.

Second, strengthen evidence. An independent technical unit should publish distributional, State-revenue, inflation, ITC and compliance modelling with assumptions and error bands. [LIMIT] It should advise, not acquire rate-setting power.

Third, operationalise Article 279A(11). A neutral intergovernmental panel needs defined jurisdiction, timelines, reasoned decisions and a clear relationship with Article 131 and judicial review. It must remain separate from taxpayer appeals and GSTAT.

Fourth, rebuild transition trust. Publish compensation-cess and loan-servicing accounts, avoid implying a permanent 14 per cent guarantee, and design a rules-based shock facility for future nationwide disruptions.

Fifth, simplify without fiscal blindness. Use a stable review calendar, reduce inversions and classification disputes, support small firms and assess State/local-government revenue effects before changes.

Sixth, protect federal reciprocity. Preserve consensus where possible, record formal votes when needed and disclose implementation delays by both levels.

[FACT] Articles 246A, 269A and 279A already supply competence, settlement and negotiation; *Mohit Minerals* protects legislative autonomy. [ANALYSIS] Reform should therefore improve legitimacy and execution, not replace legislatures with technocracy.

The goal is transparent pooled sovereignty: common rules produced by evidence, reciprocal accommodation and enforceable legal instruments.

Why this earns marks: It diagnoses transparency, data, dispute, compensation, compliance and federal-accountability gaps and pairs each proposal with an institutional safeguard.

Final consolidated register notes - GST Council and India's fiscal-federal bargain

Constitutional compact in one view

- [FACT] The 101st Amendment created a supply-based, dual GST through constitutional redistribution and sharing of tax power.
- [FACT] Article 246A = legislative competence; Article 269A = inter-State levy/apportionment; Article 279A = Union-State recommendation forum.
- [FACT] Article 366(12A) excludes alcoholic liquor for human consumption from the GST definition.
- [FACT] Article 279A is included in the Article 368 State-ratification proviso, underlining its federal character.
- [LIMIT] GST is not one Union tax and the Council is not a legislature.

Visual 52 - Three-article rapid spine

246A = POWER
269A = INTER-STATE FLOW
279A = NEGOTIATED DESIGN

Pre-GST problem and tax logic

- [FACT] Fragmented taxable events included manufacture, service, sale and entry.
- [ANALYSIS] Broken cross-credit caused cascading and internal-market friction.
- [FACT] GST uses invoice-linked ITC and destination logic.
- [LIMIT] ITC is conditional; exemptions, blocked credit, mismatch and inversion interrupt the ideal chain.

Exact Council design

- [FACT] Chair: Union Finance Minister.
- [FACT] Union member: Union MoS in charge of Revenue or Finance.
- [FACT] State member: Finance/Taxation Minister or another Minister nominated by each State Government.
- [FACT] State members choose one among themselves as Vice-Chair for a period they decide.
- [LIMIT] Revenue Secretary, CBIC Chair and Secretariat are administrative support, not extra constitutional voting members.

Visual 53 - Membership and support distinction

Constitutional voter/member	Administrative support
Union FM	Revenue Secretary, ex-officio Secretary
Union MoS Revenue/Finance	CBIC Chair, non-voting invitee
one nominated State minister each	Secretariat officers from Union/States

Recommendation domains

- [FACT] subsumed taxes/cesses/surcharges;
- [FACT] taxable or exempt goods/services;
- [FACT] model laws, levy, Article 269A apportionment and place of supply;
- [FACT] exemption threshold;
- [FACT] rates including floor rates with bands;
- [FACT] specified-period disaster rates;
- [FACT] special provisions for named States;
- [FACT] other GST matters;
- [FACT] separate date recommendation for crude, HSD, petrol, natural gas and ATF.

Voting mathematics

Visual 54 - Four-number memory board

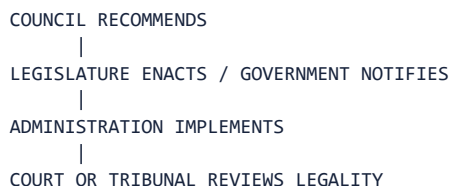
Number	Meaning
1/2	quorum of total members
1/3	Union weight
2/3	States' collective weight
3/4	passing threshold

- [ANALYSIS] Union alone cannot pass; States alone cannot pass.
- [ANALYSIS] Union can block because States max out at two-thirds.

- [ANALYSIS] With Union support, five-eighths of State votes present and voting are needed.
- [LIMIT] Consensus practice and formal voting rule must be distinguished.

Recommendation-to-law chain

Visual 55 - Legal effect recall



- [FACT] CGST section 9 links rate and specified notification powers to Council recommendation.
- [FACT] Section 11 links exemptions to Council recommendation.
- [LIMIT] Press release != rate notification.
- [CURRENT] The 56th meeting is the latest official meeting release located; commodity-wise current rates are intentionally not frozen.

Tax-mechanics distinctions

Confusion	Correct recall
intra-State	CGST + SGST/UTGST
inter-State	IGST and settlement
exempt	no output tax; credit may be restricted/reversed
nil-rated	zero tariff rate within exempt framework
zero-rated	exports/qualifying SEZ supplies with credit/refund route
inverted duty	input rate exceeds output rate
alcohol	constitutional GST-definition exclusion
petroleum	deferred date mechanism
electricity	retained State entry plus notification treatment

Compensation compact

- [FACT] five-year transition period ending June 2022.
- [FACT] FY 2015-16 base and 14 per cent projected nominal growth.
- [FACT] compensation = statutory projected-actual revenue gap.
- [FACT] cess/fund financed transition; COVID produced shortfall and borrowing.
- [CURRENT] specified cess treatment continues pending entire loan and interest discharge under the latest located official FAQ.
- [LIMIT] no exact cessation date; cess servicing is not a permanent compensation guarantee.

Mohit Minerals doctrine

Visual 56 - Case recall

Proposition	Status
Council recommendations bind primary legislatures	false
recommendations have persuasive value	true
Article 246A preserves simultaneous power	true
executive may ignore statutory recommendation condition	false
Council became irrelevant	false
ocean-freight levy conflicted with composite-supply scheme	true

- [ANALYSIS] The judgment protects fiscal federalism through collaborative dialogue rather than hierarchy.
- [LIMIT] It must not be stretched into a claim that every Council-linked notification is invalid.

Federal debate bank

- [ANALYSIS] **Cooperative:** common rules, Council dialogue, IGST settlement.
- [ANALYSIS] **Competitive:** administrative innovation and compliance performance.
- [ANALYSIS] **Confrontational:** compensation, petroleum, rates and legal divergence.
- [ANALYSIS] **Autonomy cost:** reduced unilateral State rate-setting.
- [ANALYSIS] **Autonomy protection:** State vote, retained tax fields and *Mohit Minerals*.
- [LIMIT] Consensus may conceal unequal revenue dependence.

Institutional comparison recall

Body	One-line function
GST Council	coordinates GST design
Finance Commission	recommends devolution and grants
Inter-State Council	broad intergovernmental advice
Zonal Councils	statutory regional coordination
courts/tribunals	decide legality and statutory disputes

Disputes and reforms

- [FACT] Article 279A(11) mandates an intergovernmental adjudicatory mechanism.
- [LIMIT] No complete official public mechanism was verified by the control date; do not substitute GSTAT.
- [ANALYSIS] Priority reforms: fuller reasons/minutes, independent modelling, operational clause (11), stable rate calendar, notification tracker, post-compensation shock framework, local-government impact review and small-business simplification.
- [LIMIT] These are proposals, not current law.

PYQ routes and answer theses

- **2019 GS-III:** enumerate subsumed taxes, then assess revenue through ITC, destination, compliance and exclusions.
- **2020 GS-III:** compensation formula -> COVID shortfall -> borrowing -> federal trust.
- **2023 GS-II direct:** pooled sovereignty -> vote design -> compensation -> *Mohit Minerals* -> qualified accommodative verdict.
- **2025 GS-II adjacent:** GST belongs inside wider Finance Commission, cesses, schemes and borrowing analysis.

Final 12 rapid-recall facts

1. 101st Amendment, 2016; GST launch from July 2017.
2. Article 246A is special shared competence, not Concurrent List.
3. Parliament is exclusive for inter-State GST legislation.
4. Article 269A is the IGST/apportionment bridge.
5. Article 279A creates the Council.
6. Chair = Union Finance Minister.
7. Quorum = one-half.
8. Vote = Union one-third, States two-thirds, threshold three-fourths.
9. With Union support, five-eighths of State votes are needed.
10. Recommendations are persuasive for legislatures after *Mohit Minerals*.
11. Statute-conditioned delegated notifications still require Council recommendation.
12. Compensation ended June 2022; cess loan servicing is a separate current issue.

Final verdict bank

- **Institutional:** The GST Council is a constitutional bargaining forum whose authority rests on structured interdependence, not legislative supremacy.
- **Federal:** GST collectivised tax sovereignty; its legitimacy depends on reciprocal accommodation and credible State fiscal space.
- **Judicial:** *Mohit Minerals* preserves harmonisation through persuasion while keeping delegated action within statute.
- **Reform:** Transparent evidence, an operational dispute mechanism and clear recommendation-to-notification tracking are the next stage of cooperative fiscal federalism.